

insurance policy, opt for one that doubles up as investment. ULIP is exactly this kind of product. To get the most out of it stay but with the policy for at least 10 years and use the facility of free switch between funds.

MISTAKE NO. 5 STARTING RETIREMENT PLANNING AT 40



The key to finishing rich is to start early, but how many 25-year-olds prefer to save up instead of fuelling the consumption trends of the nation? And banking on just the pension plans from your employer won't get you very far.

It's difficult to think ahead to your retirement when you are young. There are so many things you want to do and so little money at your disposal. Yet investing a relatively small amount of money from an early age, say in your 20s, can save you from having to invest more when you are in your 40s or 50s in order to be able to live comfortably in retirement. In fact, nothing can be more dangerous for your retirement plan than a late start—the later you start, the more you'll have to save to make up for lost time. That's because your investments lose out on the power of compound-

ing. For example, let's assume your retirement age is 60 years. If you invest at the age of 30 years, then your investment has 30 years to grow at the existing compounding interest rate but if you have invested at the age of 55 years, then it has only five years to grow. Another advantage of starting early is that you can afford to make mistakes and still have time to recover. But even if you missed the early bus, it's never too late to make amends. You may never discover a procrastinator's fund offering high returns with low risk, but stepping up savings could still ensure a good life.

MISTAKE NO. 6 BEING CREDIT-FRIENDLY WHEN ONE SHOULDN'T BE

Walk into a showroom and drive out in a new car by making a small down payment. Swipe your credit card to buy a new refrigerator and repay in easy EMIs. Don't underestimate the prohibitive costs of these conveniences and their effects.

Living on EMIs is a tempting thought. You get to enjoy an asset much before you have the money to buy it. But before you get the credit card bill for a consumer durable converted into easy EMIs, ask yourself if you really need to take the loan.



WHEN TO TAKE LOAN, AND HOW MUCH

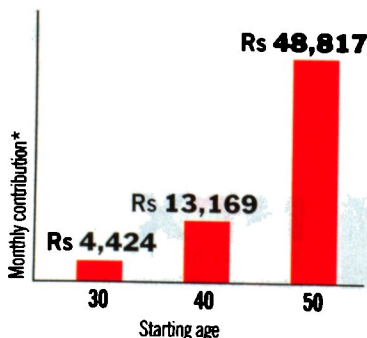
- Understand the difference between a flat rate of interest and a reducing balance rate of interest.
- If the borrowing rate is higher than the interest you are earning on investment, don't go for the loan.
- If the borrowing rate is cheaper than the return on investment, consider the loan.
- Case for credit is stronger when it is taken to fund assets like a house.
- EMIs on home loans shouldn't exceed 45 per cent of your net income.
- Avoid taking loans to buy assets that depreciate in value or for outright consumption.

Many people take a loan just because it is being offered. They may have money lying idle in their bank accounts but that doesn't deter them from accepting the offer. They readily pay 12-15 per cent on that loan while their money grows by a measly 3.5 per cent in the bank. Net loss: 8.5-11.5 per cent. The auto mart is a fecund ground for such unrequired borrowings. Salesmen and brokers entice buyers with discounts so that they borrow a larger proportion of the total cost. Don't get swayed by the "fabulous offers" and "cash discount" schemes. If you are being offered an attractive deal, it is because the broker expects to earn a hefty commission from the lending bank. If you are buying a car on a loan, keep your downpayment as big as possible and the loan as small and short as possible. In some instances it may even be sensible to liquidate some investments to avoid a loan. If the returns you expect on your investments are lower than the interest you are paying on your borrowings, it is better to sell that investment and retire the loan.

TO SAVE RS 1 CRORE BY THE TIME YOU ARE 60

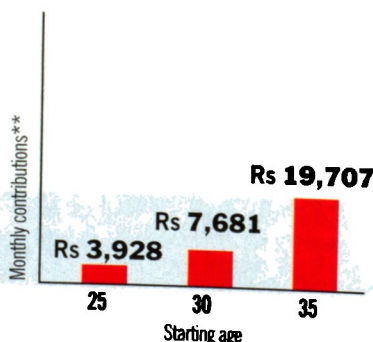
Spacing it out till 60

Late starters will have to invest 11 times more than early beginners



Finishing it off at 40

Difference of just five years in starting can double the investment needed to meet the target



*Assuming a 10 per cent return ** Assuming 9 per cent return and contribution stops at the age of 40